

Generative AI and Jobs: Youth & Workplace Impact

Dedicated Focus Report on the International Labour Organization (ILO) Global Index

Source Text Focus: ILO Working Paper — *Generative AI and Jobs: A Refined Global Index of Occupational Exposure*.

Core Analytical Framework: Measuring technological effects via a dual-axis of automation risk (substitution) vs. productivity enhancement (augmentation).

1. Macroeconomic Context: Augmentation vs. Destruction

The International Labour Organization (ILO) establishes a definitive stance on the near-future impact of Generative Artificial Intelligence (GenAI), explicitly rejecting predictions of imminent widespread mass unemployment. The core architecture of the ILO framework categorizes workplace exposure along a gradient, demonstrating that for the vast majority of sectors, GenAI functions primarily as a technology of **augmentation** rather than direct structural substitution (ILO, 2023).

On a global macroeconomic scale, the ILO estimates that only **3.3% of total global employment** falls into the highest exposure band where complete automation and job destruction represent an immediate, high-probability risk. By contrast, roughly **13.4% of global employment** is positioned in the augmentation category, meaning the integration of GenAI tools will optimize worker productivity, alleviate routine cognitive burdens, and potentially raise overall job quality (ILO, 2023).

2. The Youth Paradox: Low Aggregate Exposure vs. Concentrated Vulnerability

When filtering the Global Index of Occupational Exposure specifically through demographic ages, the ILO isolates a stark generational paradox.

On a broad statistical basis, the overall share of young workers exposed to GenAI is actually *lower* than that of older adult workers. This lower baseline exposure exists because a massive volume of the global youth workforce resides in developing or emerging economies, often anchored to manual labor, agricultural systems, or sectors with limited digital infrastructure (ILO, 2023).

However, the structural threat becomes acute when observing young, educated workers entering the formal, digitized labor market. The ILO points out that fresh workforce entrants are disproportionately packed into entry-level, non-autonomous roles. These foundational occupations—such as:

- Clerical support services and administrative assistance,
- Data entry, baseline bookkeeping, and text formatting,
- Routine customer service and introductory sales roles.

Because GenAI is highly optimized to instantly parse, draft, and compute structured text and datasets, these specific clerical categories represent the absolute highest concentration of full automation risk. Consequently,

the small fraction of jobs being completely eliminated in the market are heavily concentrated precisely where young people look to start their professional journeys (ILO, 2023).

The Entry Barrier and "Hiring Freeze" Effect

The ILO warns that the true labor threat to youth is an onboarding bottleneck. If GenAI capabilities allow a small pool of senior managers or supervisors to manage the documentation, scheduling, and basic drafting that used to require two or three junior assistants, corporations can significantly reduce or completely freeze entry-level hiring requisitions. This process disrupts the historic corporate "runway" that has traditionally allowed young graduates to acquire professional experience, regardless of whether current employees are fired.

3. The Asymmetric Impact on Young Women

The ILO emphasizes that the occupational exposure patterns of GenAI are intensely gender-polarized. Globally, formal clerical and administrative service roles employ a highly disproportionate share of women.

In high-income and rapidly digitizing middle-income economies, the ILO indexes reveal that the proportion of the female workforce exposed to potential automation risks is **more than double** the share of the male workforce. Because educated young women are highly concentrated in these administrative avenues, they bear the brunt of the initial transitional friction. The ILO highlights an urgent risk that if unaddressed by regional governance, GenAI adoption could fundamentally deepen existing gender-based employment inequalities (ILO, 2023).

4. Strategic Recommendations for the Youth Labor Market

To prevent a generational gap in the future workforce, the ILO shifts the focus from passive corporate adaptation to active policy governance, highlighting three distinct structural pillars:

- **Curriculum Desynchronization Mitigation:** Restructuring early educational frameworks to build robust "AI-native" literacy, ensuring that entering cohorts exit academic institutions as developers, prompters, and strategic directors of technology rather than manual data processors.
- **Institutional Support for At-Risk Sectors:** Implementing specific regional and industrial cushion policies to shield clerical, back-office processing, and Business Process Outsourcing (BPO) hubs—sectors where young labor is dense.
- **Prioritizing the Human Premium:** Directing youth upskilling toward tasks that exhibit strong resistance to algorithmic substitution, including intricate social dialogue, complex workplace collaboration, tripartite negotiation, and high-level emotional intelligence.

References

International Labour Organization [ILO]. (2023). *Generative AI and Jobs: A Refined Global Index of Occupational Exposure* (ILO Working Paper). <https://www.ilo.org/publications/generative-ai-and-jobs-refined-global-index-occupational-exposure>